

other words it allows everything to be recorded during the transactional process and tampering of the data is extremely unlikely making it safe.

Let us try to understand Smart contracts in detail by using an example:

Let us say User A want to ship a truck full of goods to User B. User Z is the trucker who would be carrying the truck full of goods to User B. User A may trust User B, but not the trucker. On the contrary, even the trucker may not trust the sender (User A), owing to the fear of not getting paid.

User A would then sign an agreement with the trucker that he would process the payment only after the goods are received by User B. Such a process would usually involve a third party wherein legal papers and contracts are signed, printed and scanned.

Using smart contracts, this can be made simpler and the rules can be added in the code. User A can use Smart contracts to sign an agreement with the trucker – where the program would mention a code wherein the payment would not be processed till the delivery is confirmed by user B. Once the delivery is confirmed, the payment would be automatically triggered and processed by the smart contract. This can further be modified by adding a GPS tracker attached to the truck, which would eliminate the need for User B to confirm in this entire process and the payment can be processed once the stated conditions are met.

To use a smart contract on the Ethereum blockchain , mini payments of Ether, the cryptocurrency for Ethereum, were required. Since smart contracts are stored on the Ethereum blockchain, anyone can access or inspect the contract for a bugs or irregularities since its contents are public. Additionally, no one can access the funds on the smart contracts, not even the developers.

Using this innovation of smart contracts in the blockchain system , Ethereum developers built small computer programs directly into blockchain that allowed financial instruments, like loans or bonds, to be represented, rather than only the cash-like tokens of bitcoin. The Ethereum smart contract platform has a market capitalization of billions of dollars and has hundreds of projects heading towards the market.

Ever since its launch in 2014, Ethereum has grown significantly and is now considered the second largest cryptocurrency after Bitcoin. By June 2014, the Ethereum project was funded by a crowd sale. Investors realized how Ethereum could unlock a new level of functionality for blockchains and were keen on investing in the same. It has been growing ever since.